

SS17/13 - Credit risk mitigation

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SS17/13 - Credit risk mitigation

Supervisory statement 17/13

First published on 19 December 2013

This supervisory statement sets out the Prudential Regulation Authority's expectations in respect of the recognition of credit risk mitigation in the calculation of certain risk-weighted exposure amounts.

This supervisory statement covers elements of the following topics:

- eligibility of financial institutions as protection providers;
- recognised exchanges;
- conditions for applying a 0% volatility adjustment under the Financial Collateral Comprehensive Method (FCCM);
- permission to use 'own estimates of volatility adjustments' under the FCCM; and
- netting of liabilities that may be subject to bail-in.

Current version

Published on July 2019. Effective from 13 September 2019.

- [Supervisory Statement UPDATE - July 2019 \(PDF\)](#)

- following [PS14/19 'Credit risk mitigation: Eligibility of financial collateral](#), and incorporates the updates following [PS8/19 Credit risk mitigation: Eligibility of guarantees as unfunded credit protection](#).

Future version

Published on 20 January 2026. Effective from 1 January 2027.

- [Supervisory statement 17/13 – January 2026 \(PDF\)](#)

- Following [PS1/26 – Implementation of Basel 3.1: Final rules](#)

Past versions

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List of past versions

Near-final version published on 12 September 2024. Now superseded.

- [Supervisory statement 17/13 – September 2024 \(PDF\)](#)

- following [PS9/24 – Implementation of the Basel 3.1 standards near-final part 2](#)

Published July 2019. Effective from 23 July 2019 (superseded on 24 February 2020 by february 2020 version).

- [Supervisory Statement UPDATE - July 2019 \(pdf\)](#)

- following [PS14/19 'Credit risk mitigation: Eligibility of financial collateral'](#).

Published March 2019. Effective from 13 September 2019 (this version was superseded on 23 July 2019 by the July 2019 future version).

- [Supervisory Statement UPDATE - March 2019 \(PDF\)](#)

- following [PS8/19 'Credit risk mitigation: Eligibility of guarantees as unfunded credit protection'](#).

Published April 2017. Effective from 28 April 2017.

- [Supervisory Statement UPDATE - April 2017 \(PDF\)](#)
 - following [PS9/17 'Implementation of MiFID II: Part 2', to update references in paragraph 2.26 from Markets in Financial Instruments Directive \(MiFID\) to MiFID II'](#).
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Published December 2013. Effective from 19 December 2013.

- [Supervisory Statement 17/13 - December 2013 \(PDF\)](#)

First publication of SS.

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